

quiry transactions, respectively. ICICI Bank charges ₹125 per withdrawal. Moreover, most Indian banks charge a foreign transaction fee ranging from 2.5% to 3.5% on the withdrawn amount,” says Shetty.

“Say you withdraw an equivalent of ₹50,000 from a foreign ATM. You could pay an ATM fee of ₹125, a foreign transaction fee of 2.5% (₹1,250), and a mark-up of 3.5% (₹1,750). That’s a total of ₹3,125—over 6% of the withdrawal amount,” he adds.

If you use a credit card to withdraw cash, the costs increase sharply—2.5–3% withdrawal fee plus high interest from Day One, sometimes as much as 40% annually.

Even forex card ATM withdrawals can attract multiple charges like conversion markups and ATM usage fees.

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UPI TRANSACTIONS

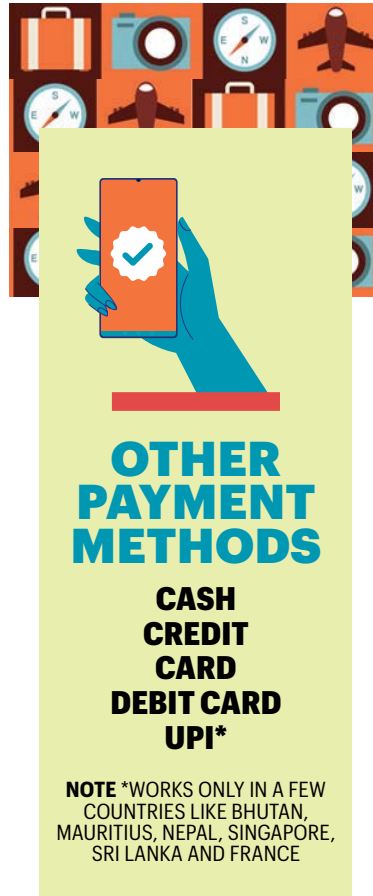
Unified Payments Interface (UPI) might have transformed digital payments in India, but its global use is still limited.

“UPI’s global use is in the early stages. It’s accepted in a handful of countries like Singapore, UAE, Bhutan, Nepal, France, Mauritius and Sri Lanka. Even then, it can be used only at select merchants,” says Motwani.

Chhibbar adds that the traveller must enable ‘UPI International’ if he plans to use UPI in a foreign country.

The payment is deducted in INR, and your bank applies a conversion rate. There could be additional charges depending on the transaction amount and the currency involved.

Until UPI is more widely accepted, consider it a useful backup for small expenses rather than a primary mode of payment.



OTHER PAYMENT METHODS

**CASH
CREDIT CARD
DEBIT CARD
UPI***

NOTE *WORKS ONLY IN A FEW COUNTRIES LIKE BHUTAN, MAURITIUS, NEPAL, SINGAPORE, SRI LANKA AND FRANCE

**ZERO-FOREX
MARKUP CARDS MAY
STILL USE STATIC
NETWORK RATES SET
BY CARD PROVIDERS.
THESE ARE UPDATED
ONCE OR TWICE A
DAY AND CAN BE
UP TO 1% HIGHER
THAN REAL-TIME
INTERBANK RATE**



THE BEST OF THE LOT

Before you travel, estimate how much money you’ll need. A forex card is one of the safest and most convenient ways to carry foreign exchange. It lets you load currency at a fixed rate before departure and use it like a debit card. It generally offers better value than cash exchange and works at most retail outlets and ATMs.

Credit and debit cards may come with hidden charges, so opt for those with zero or low forex markup and read the fine print. Carry cash also for minor expenses but avoid carrying too much.

When buying forex, the rate you get can make a noticeable difference to your travel budget.

Compare rates from different sources—banks, online platforms, and licenced money changers. Even a small variation in rates can lead to big savings if you’re exchanging a large sum.

Understanding how the rate is calculated is important. With forex cards, the rate is locked in at the time of loading.

For debit or credit cards, the rate applied is usually the card network’s (Visa/Mastercard) static rate. Some merchants may offer to charge in INR instead of local currency via dynamic currency conversion, which often results in a poor exchange rate.

To sum up, understanding how forex rates are applied across different payment methods—whether you’re swiping a card, using UPI, or withdrawing cash—can help you avoid hidden costs. Don’t accept the first rate you’re offered. Compare options, understand the rate mechanism, and choose wisely to save money on your trip. **BT**

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